

credit cards the following month.

Her feeling of relief was soon replaced by panic when her car needed new tires. Stacey rarely saved any money each month; she habitually spent every dime that she made. This left no money for emergencies and her credit cards became her emergency fund. Even though Stacey had promised herself that she would no longer use her credit cards, she found herself with no other option. Since she had paid off her credit cards, she now had access to open lines of credit again.

Within a year her credit card debt was approaching the same level it had reached before she got her debt consolidation loan. In trying to make her situation better, she had actually succeeded in making it worse. She now had her old credit card debt back again in addition to a home equity loan of an equal amount. She had ended up with double the debt that she originally had started with.

A debt consolidation approach can be smart if you move your debt to a lower interest loan and don't incur additional debt. Consider this example:

Family A and Family B both have \$20,000 in total credit card debt at an interest rate of 18 percent. They are trying to become debt free. By getting a debt consolidation loan at 10 percent, they can lower their interest payment from \$300 per month at 18 percent to \$167 per month at 10 percent interest. Family A borrows only the amount needed to pay off the credit card debt and then cuts up all the credit cards and closes the accounts. Family B gets a loan for \$5,000 more than they need and then they continue to charge on their credit cards, eventually charging them up to their initial level of \$20,000. Notice the difference in ending debt levels.

